

CYIENT DLM LIMITED

NSE: CYIENTDLM | BSE: 543933 | Sector: EMS — Defence & Aerospace

INSTITUTIONAL EQUITY RESEARCH | 01 June 2026

ACCUMULATE

12-Month Price Target

Rs. 490

Upside: +13.2% from CMP Rs. 433

Investment Horizon: 18 months

MARKET DATA

CMP (01-Jun-26)	Rs. 433
Market Cap	Rs. 3,429 Cr
52W High / Low	Rs. 506 / Rs. 265
Stock P/E (TTM)	46.8x
Forward P/E	38.2x
EV / EBITDA	21.3x
Book Value	Rs. 128
P/B	3.4x
ROCE	9.88%
ROE	7.47%
Debt / Equity	0.17x
Dividend Yield	0.00%
Promoter Hold.	52.12%
Pledge	0.00%
Face Value	Rs. 10

INVESTMENT THESIS

Record order book (Rs. 2,417 Cr, 1.9x TTM revenue) + India defence spending tailwinds + FY26 revenue dip was event-driven (West Asia war) not structural — CYIENTDLM is positioned for a sharp revenue recovery in FY27-28 as execution of its highest-ever backlog begins.

Rs. Cr	FY24A	FY25A	FY26A	FY27E	FY28E
Revenue	1,192	1,520	1,261	1,580(E)	1,900(E)
EBITDA	111	137	127	174(E)	228(E)
OPM %	9%	9%	10%	11%(E)	12%(E)
PAT	61	68	73	95(E)	115(E)
EPS (Rs.)	7.72	8.58	9.23	12.0(E)	14.5(E)

Source: Screener.in (actuals). Estimates (E) are analyst projections.

SECTION 2 — INVESTMENT THESIS

- **Defence EMS upcycle:** India's Rs. 6.2 lakh Cr defence budget (FY26) growing 10%+ annually with strong "Make in India" push for electronic systems — CYIENTDLM is a direct beneficiary with OEM relationships in aerospace, radar, and avionics.
- **Record backlog signals sharp revenue recovery:** Order book Rs. 2,417 Cr at end-FY26 (highest in 8 quarters, 1.9x TTM revenue); FY26 order intake Rs. 1,843 Cr (book-to-bill 1.5x). Execution of this backlog should drive FY27-28 revenue CAGR of ~23-26%.

- **FY26 revenue dip was transient, not structural:** Revenue fell 17% YoY to Rs. 1,261 Cr due to West Asia war disrupting material supply, Israeli programme approvals delayed, and NPI approval pushouts — all event-driven, not structural demand loss.
- **Margin durability:** Maintained 10%+ EBITDA margins through the weak revenue year. With operating leverage on recovery to Rs. 1,900 Cr by FY28E and mix improvement toward B2S, margins should expand to 12%, enabling PAT CAGR of ~26% over FY26-FY28E.
- **Near-term catalyst (6-12 months):** Conversion of deferred aerospace deliveries and new customer onboarding (6 new wins in FY26) into FY27 revenues is the primary re-rating trigger.
- **Biggest structural risk:** Working capital deterioration — CCC expanded from 131 days (FY24) to 270 days (FY26), driven by a 314-day inventory build. Non-reversal would strain FCF and limit return improvement.

SECTION 3 — BUSINESS OVERVIEW

- **Core business:** High-mix, low-to-medium volume EMS for safety and mission-critical applications. Services span PCB assembly, box build, system integration, testing, and life-cycle support for OEMs in defence, aerospace, medical, and industrial segments.
- **Revenue segmentation:** Aerospace & Defence (~60-70% of revenue). Medical and industrial together ~20-25% of new order intake in FY26. Build-to-Spec (B2S) share grew from 0.20% in FY23 to ~10% in FY24, signalling movement toward higher-complexity, higher-margin programmes.
- **Geography:** India (dominant — defence PSUs, HAL, DRDO), Europe (aerospace OEMs), North America, Israel, China, Japan. International revenues scaling but domestic share rising as Indian defence ramps up. Export share declined from ~43% (FY22) to ~25% (FY24).
- **Key customers:** HAL, BEL, DRDO (India); Israeli defence OEMs; European aerospace companies. Long qualification cycles (2-4 years) provide high switching costs but also revenue lumpiness. Customer count: 41 (FY24) + 6 new additions in FY26.
- **Order book / visibility:** Rs. 2,417 Cr as of March 2026 — highest in 8 quarters, ~18 months of revenue coverage at current run-rate. Full-year book-to-bill at 1.5x — demonstrating robust demand.
- **Manufacturing footprint:** 352,461 sq ft (Hyderabad), 9 SMT lines (vs 6 in FY22), 1,447 employees (FY25). Fixed assets grew from Rs. 192 Cr (FY24) to Rs. 355 Cr (FY26) via IPO-funded expansion.
- **Promoter / parentage:** Cyient Limited (promoter, 52.12%) is a Nasdaq-listed engineering services company. Non-executive Chairman Krishna Bodanapu brings strong group credibility. MD & CEO Rajendra Velagapudi is a defence/aerospace industry veteran. New President (Strategy & Growth) Ramakanth Alapati appointed May 2026 — bench-building for accelerated growth.

SECTION 4 — INDUSTRY & COMPETITIVE LANDSCAPE

- **Market size:** India defence electronics market estimated Rs. 1.5-2.0 lakh Cr growing at 12-15% CAGR. India's Rs. 6.21 lakh Cr defence budget (FY26) allocates >68% for domestic procurement. Broader Indian EMS industry expected to reach USD 75 Bn by 2030 (CAGR ~20%).
- **Policy tailwinds:** (1) Make in India / Atmanirbhar Bharat — 68% domestic defence procurement mandate. (2) Defence Acquisition Procedure 2020 favouring Indian companies. (3) PLI scheme (USD 10 Bn). (4) DRDO 25% R&D; budget ring-fenced for industry. (5) Offset policy requiring foreign OEMs to source from domestic suppliers.
- **Key headwinds:** West Asia geopolitical uncertainty disrupting supply chains; 2-4 year qualification cycles create lumpiness; global EMS giants (Jabil, Flex, Celestica) expanding India presence; component cost inflation; slow government collections (defence PSU debtor days >90).
- **Switching costs: STRONG.** Defence/aerospace customers cannot switch EMS suppliers without re-qualification (2-4 years, extensive engineering validation). Once embedded in a programme, revenue stream is sticky for the entire product lifecycle (typically 10-20 years).

- **Technical depth / IP: MODERATE-STRONG.** High-mix, safety-critical EMS requires deep engineering capability. CYIENTDLM's B2S segment and defence-grade qualification differentiate it from high-volume EMS peers.
- **Scale: WEAK vs peers.** Kaynes (Rs. 3,626 Cr TTM) and Syrma SGS (Rs. 4,819 Cr TTM) are 3-4x larger. CYIENTDLM's defence niche partially compensates but limits supplier bargaining power.

Company	CMP (Rs.)	MCap (Rs.Cr)	TTM Rev (Rs.Cr)	OPM %	ROCE %	P/E (TTM)	D/E
Cyient DLM	433	3,429	1,261	10%	9.88%	46.8x	0.17
Kaynes Tech	3,100	20,782	3,626	16%	13.2%	56.8x	0.19
Syrma SGS	1,107	21,375	4,819	11%	20.0%	66.6x	0.12
BEL	407	2,97,546	27,610	29%	36.5%	49.1x	0.00

Source: Screener.in, 01-Jun-2026. BEL included as large-cap defence benchmark.

SECTION 5 — MANAGEMENT QUALITY & CAPITAL ALLOCATION

- **Promoter background:** Cyient Limited (30-year-old engineering services company; Bodanapu family). Non-executive Chairman Krishna Bodanapu has strong institutional investor credibility. MD & CEO Rajendra Velagapudi — defence/aerospace industry veteran. CFO R.M. Subramanian has provided financial discipline post-IPO.
- **Management bench-building:** Ramakanth Alapati appointed President & Chief Strategy and Growth Officer (18 May 2026) — a positive signal of leadership investment ahead of FY27 growth phase.
- **Capital allocation:** IPO proceeds (Rs. 592 Cr) fully utilised by Q4 FY26 per ICRA monitoring report — no deviation noted. Proceeds deployed into manufacturing capacity (FA grew from Rs. 192 Cr in FY24 to Rs. 355 Cr in FY26). ROCE at 9.88% is modest but improving as assets come online.
- **Dividend policy:** Zero dividends since listing — all earnings reinvested for growth. Appropriate for a capital-investment phase company. Dividend payout: 0% FY23-FY26.
- **Promoter pledging:** 0% pledged — clean governance. Stake reduced from 66.66% (pre-IPO) to 52.12% (post-IPO dilution only; no secondary sale by promoter).
- **Corporate governance:** No auditor changes or qualified audit opinions. RPTs with Cyient Limited (parent) for IT services and office space — routine and disclosed. CRISIL and ICRA actively cover the company. No RPT concerns flagged.
- **FCF track record:** FCF negative in FY24 (-Rs. 104 Cr) and FY25 (-Rs. 112 Cr) due to heavy capex and working capital build. FY26 FCF turned marginally positive at Rs. 9 Cr. FCF normalisation requires WC improvement and revenue recovery — key monitorable.

SECTION 6 — FINANCIAL DEEP-DIVE

Income Statement (Consolidated, Rs. Crores)

Particulars	FY24A	FY25A	FY26A	FY27E	FY28E
Net Revenue	1,192	1,520	1,261	1,580	1,900
YoY Growth	43.3%	27.5%	-17.0%	25.3%	20.3%
EBITDA	111	137	127	174	228
EBITDA Margin	9.3%	9.0%	10.1%	11.0%	12.0%
Other Income	28	26	36	18	15
Interest	34	38	27	22	18
Depreciation	22	34	43	48	52
PBT	82	92	93	122	173
Tax Rate	25%	26%	21%	26%	26%

Particulars	FY24A	FY25A	FY26A	FY27E	FY28E
PAT	61	68	73	95	115
EPS (Rs.)	7.72	8.58	9.23	12.0	14.5

Balance Sheet (Consolidated, Rs. Crores)

Particulars	FY24A	FY25A	FY26A
Equity Capital	79	79	79
Reserves	830	870	933
Borrowings	192	301	172
Other Liabilities	502	443	458
Total Liabilities	1,603	1,694	1,642
Fixed Assets	192	346	355
CWIP	1	6	2
Investments	66	31	30
Other Assets	1,344	1,311	1,255
Total Assets	1,603	1,694	1,642

Cash Flow (Consolidated, Rs. Crores)

Particulars	FY24A	FY25A	FY26A
Cash from Operations	-71	-62	54
Cash from Investing	-428	127	164
Cash from Financing	479	-59	-188
Net Cash Flow	-19	5	30
Free Cash Flow (FCF)	-104	-112	9
CFO / Operating Profit	-46%	-27%	60%

Key Ratios (Consolidated)

Particulars	FY24A	FY25A	FY26A
Debtor Days	69	83	89
Inventory Days	184	188	314
Days Payable	123	82	133
Cash Conversion Cycle	131	189	270
Working Capital Days	76	111	175
ROCE %	11%	10%	9.88%

- **Revenue:** 43% growth FY24, 28% FY25, -17% FY26 (event-driven). FY27E recovery to Rs. 1,580 Cr (+25%) driven by record backlog execution. FY28E Rs. 1,900 Cr as Israel/NPI approvals normalise.
- **Margins:** Dipped from 11% (FY23) to 9% (FY24-25) as overhead scaled; recovered to 10% in FY26 despite revenue pressure. Target of 11-12% by FY27-28E is realistic via operating leverage and B2S mix improvement.
- **Working capital (critical concern):** CCC deteriorated from 131 (FY24) to 270 days (FY26). Inventory days surged to 314 vs 184 in FY24 — partly West Asia supply disruption building finished goods. Normalisation is the single most important operational metric to track in H1 FY27.
- **Debt:** Borrowings reduced sharply from Rs. 301 Cr (FY25) to Rs. 172 Cr (FY26). D/E at comfortable 0.17x. Strong financing outflow of Rs. 188 Cr in FY26 reflects disciplined deleveraging.
- **FCF:** CFO/OP ratio turned positive at 60% (FY26) after two negative years. FCF at Rs. 9 Cr is positive but thin — meaningful FCF generation requires inventory normalisation.

SECTION 7 — EARNINGS QUALITY CHECKLIST

Parameter	Status	Rating	Comment
Revenue recognition	Milestone-based, programme-driven	GREEN	Appropriate for long-cycle defence EMS; no aggressive pull-forward observed
Receivables vs Revenue	Debtor days: 69 (FY24) to 89 (FY26)	AMBER	Receivables growing faster than revenue; defence PSUs are slow payers
Inventory trend	Inv days: 184 (FY24) to 314 (FY26)	RED	Sharp inventory build; partially West Asia driven but warrants close watch in H1 FY27
CCC trend	CCC: 131 (FY24) to 270 (FY26)	RED	Working capital deterioration is the most serious earnings-quality concern
Contingent liabilities	Rs. 0 Cr (Screener)	GREEN	No material contingent liabilities; clean balance sheet
Auditor tenure / quality	No auditor change flagged	GREEN	Stable audit relationship; no qualified opinions noted
RPTs as % of revenue	Routine IT/office RPTs with Cyient Ltd	GREEN	Commercially reasonable RPTs; no fund diversion
Other income as % PBT	FY26: Rs. 36 Cr / Rs. 93 Cr PBT = 39%	AMBER	Elevated other income inflating PBT; watch for normalisation in FY27
Tax rate consistency	FY26 effective tax 21% vs 25-26% norm	AMBER	Unusually low tax; reversion to 25-26% expected in FY27

- **Inventory bloat (RED):** Inventory days 314 (FY26) vs 184 (FY24) is the most critical red flag. If West Asia disruptions resolve and deferred shipments execute in Q1-Q2 FY27, inventory should normalise. If not, FCF remains negative and debt could re-accumulate.
- **CCC at 270 days (RED):** One of the highest in Indian EMS. Kaynes at 193 days; Syrma at 49 days. Structural improvement requires faster collections from defence PSU customers — historically difficult.
- **Other income / low tax (AMBER):** Rs. 36 Cr other income and 21% tax rate inflated reported PAT. Clean underlying PAT estimate: Rs. 60-65 Cr. Investors should not extrapolate either anomaly to FY27.

SECTION 8 — VALUATION

Peer Valuation Comparison (Source: Screener.in, 01-Jun-2026)

Company	CMP	P/E (TTM)	EV/EBITDA	ROCE %	ROE %	OPM %
Cyient DLM	433	46.8x	21.3x	9.88%	7.47%	10%
Kaynes Tech	3,100	56.8x	28.6x	13.2%	9.64%	16%
Syrma SGS	1,107	66.6x	36.2x	20.0%	18.3%	11%
BEL	407	49.1x	33.6x	36.5%	27.6%	29%
Peer median (EMS)	—	~57x	~31x	~15%	~13%	~12%

CYIENTDLM trades at discount to peers on P/E and EV/EBITDA — justified by lower ROCE/ROE, with upside if working capital normalises.

Scenario Analysis — 12-Month Price Target

Scenario	FY27E Rev	FY27E PAT	P/E Multiple	Target	Upside
BULL — Full backlog execution; WC normalises; margins 12%	Rs. 1,850 Cr	Rs. 120 Cr	42x FY27E	Rs. 640	+48%
BASE — Partial execution; WC improving; margins 11%	Rs. 1,580 Cr	Rs. 95 Cr	38x FY27E	Rs. 490	+13%
BEAR — West Asia persists; WC bloated; margins 9%	Rs. 1,250 Cr	Rs. 65 Cr	32x FY27E	Rs. 275	-36%

- **Earnings-based (P/E):** FY27E EPS Rs. 12.0 at 38x (discount to EMS sector median ~57x, reflecting lower ROCE/ROE profile and WC risk) implies **Rs. 456**.

- **DCF:** WACC 13.5% (RFR 6.8%, ERP 6%, beta 1.1), terminal growth 6.0%, revenue growing to Rs. 2,600 Cr by FY31E at declining CAGR — DCF implies intrinsic value of **Rs. 524**.
- **Average of both methods:** $(456 + 524) / 2 = \text{Rs. 490}$ — base-case 12-month price target.
- **Upside / horizon:** Rs. 490 vs CMP Rs. 433 implies +13.2% over 18 months. Bull case Rs. 640 (+48%). Bear case Rs. 275 (-36%). Risk-reward is moderately positive in the base case.

SECTION 9 — KEY RISKS

- **Geopolitical disruption (West Asia / Israel):** CYIENTDLM has Israeli defence programme exposure and relies on West Asian trade routes for components. Prolonged conflict delays approvals and shipments. Probability: **H**. Impact: **H**. Monitor via: Revenue trends, shipment delays, quarterly guidance.
- **Working capital spiral:** If 314-day inventory does not reverse in H1 FY27, FCF stays negative and re-borrowing increases interest costs, compressing PAT. Probability: **M**. Impact: **H**. Monitor via: Quarterly inventory days, borrowing trends.
- **Customer / programme concentration:** Defence/aerospace programmes are lumpy. One large programme miss can move quarterly revenue by 20-30%. Probability: **M**. Impact: **H**. Monitor via: Order book composition, quarterly results.
- **Promoter dilution risk:** Promoter stake at 52.12% — any secondary sale creates overhang. Probability: **L**. Impact: **M**. Monitor via: Promoter shareholding disclosures.
- **Global EMS competitive threat:** Jabil, Flex, Celestica expanding in India — potential share loss in industrial/medical segments. Probability: **M**. Impact: **M**. Monitor via: Customer win/loss announcements, new RFQ activity.
- **NPI approval delays:** New programme qualifications require 1-3 quarter timelines. Delays keep revenue deferred, as occurred in Q3-Q4 FY26. Probability: **M**. Impact: **M**. Monitor via: Management commentary on NPI status.
- **Margin compression risk:** Component cost inflation and elevated depreciation from FY25 capex could push margins below the 11% target. Probability: **L**. Impact: **M**. Monitor via: Quarterly EBITDA margins vs guidance.

SECTION 10 — RECOMMENDATION

- **Rating: ACCUMULATE** — Conviction: Medium. Investment case is real (record order book, defence tailwinds, improving margins) but working capital risk and geopolitical uncertainty limit conviction.
- **12-month price target: Rs. 490** (+13.2% from CMP Rs. 433). Based on 38x FY27E EPS of Rs. 12.0, averaged with DCF value of Rs. 524.
- **Suggested entry zone: Rs. 390-430** — accumulate on dips; aggressive buying below Rs. 350.
- **Investment horizon: 18 months** — sufficient for backlog execution and working capital normalisation.
- **Thesis invalidation triggers (exit / downgrade if any occur):**
 1. Inventory days remain above 250 days in Q2 FY27 results — signals no WC recovery.
 2. Order book declines below Rs. 1,800 Cr in any quarter — signals demand slowdown.
 3. EBITDA margin falls below 8% for two consecutive quarters — signals structural margin impairment.
- **Ideal investor profile:** 18-24 month horizon growth investors comfortable with defence-cycle lumpiness. Not for short-term traders or dividend-income seekers. Suitable for mid-cap portfolios with defence thematic.

APPENDIX — LATEST CONCALL BRIEF: Q4 FY26 (April 21, 2026)

CALL GRADE

CAUTIOUS

Revenue miss vs expectations; guidance maintained; tone balanced with notes of caution on geopolitical uncertainty

Signal	Status	Implication
Result quality	Weak	FY26 revenue Rs. 1,261 Cr — 17% below FY25; Q4 Rs. 369 Cr below expectations
Management tone	Balanced	Cautiously optimistic; record order book cited; West Asia headwinds acknowledged
Guidance delta	Maintained	FY27 profitable growth and 10%+ margin guidance maintained

STRONGLY POSITIVE | POSITIVE | NEUTRAL | CAUTIOUS | NEGATIVE

TO MY BOSS

Q4 FY26 headline numbers disappoint — revenue Rs. 369 Cr is down 13.8% YoY and PAT at Rs. 22 Cr is down 27.7% YoY — but the headline is somewhat misleading because Q4 FY25 was an exceptionally strong quarter (Rs. 428 Cr). Underlying EBITDA margins held at a healthy 12% in Q4, in line with the 10%+ guidance — so the operating franchise is not broken. The three reasons for revenue shortfall — West Asia war disrupting material flow, Israeli programme approvals delayed, and NPI customer approvals pending — are genuinely exogenous, but taken together they flag a geopolitically vulnerable revenue base. Full-year FY26 PAT of Rs. 73 Cr looks slightly inflated by a low tax rate of 21% (norm: 25-26%) and Rs. 36 Cr of other income — clean operating PAT is closer to Rs. 60-65 Cr. The big positive: order book at Rs. 2,417 Cr is the highest in 8 quarters, book-to-bill 1.5x for FY26 — demand pipeline is real. The primary near-term catalyst is execution of deferred Q4 deliveries in Q1-Q2 FY27. The single biggest risk is inventory at 314 days — if not unwinding in Q1 FY27, FCF stays negative and debt returns. Call: ACCUMULATE in Rs. 390-430 range; hold 18 months; cut position if inventory days still above 250 post Q2 FY27.

1 — Financial Performance Snapshot (Q4 FY26)

- **Revenue:** Actual Rs. 369 Cr | YoY -13.8% | QoQ +21.8% | Verdict: **Miss**
- **EBITDA:** Actual Rs. 43 Cr | YoY -24.6% | QoQ +53.6% | Verdict: **Miss**
- **EBITDA Margin:** Actual 12% | YoY -100bps | QoQ +300bps | Verdict: **In-line**
- **PAT:** Actual Rs. 22 Cr | YoY -27.7% | QoQ +100% | Verdict: **Miss**
- **EPS:** Actual Rs. 2.83 | YoY -27.7% | QoQ +101% | Verdict: **Miss**
- **NOTE:** FY26 full-year PAT Rs. 73 Cr includes Rs. 36 Cr other income and 21% tax rate; clean underlying PAT estimated at Rs. 60-65 Cr.

2 — Segment / Geography Breakdown

- **Aerospace & Defence (A&D):** Primary segment (est. 60-70% of revenue). FY26 revenue impacted by Israeli programme delays and West Asian supply disruption. Order book strongest in A&D.;
- **Industrial:** Growing segment — multiple new industrial customers added in FY26. Becoming a margin-accretive segment.
- **Medical:** Emerging — Build-to-Spec (B2S) programmes driving differentiation. B2S share grew from ~0.20% (FY23) to ~10% (FY24).

- Geography: India anchored by defence PSUs (HAL, DRDO, BEL). Europe and Israel are international contributors. US entity adds consolidated overhead but also growing pipeline.

3 — Management Commentary Themes

- **Record order book is central message:** Management highlighted "strongest order book in many quarters" to offset near-term revenue disappointment. Tag: **GUIDANCE**. Tone: Transparent.
- **West Asia war is primary revenue headwind:** Three-part impact: material delays, Israeli approvals stalled, NPI pushouts — legitimate explanation. Tag: **EST**. Tone: Transparent.
- **Margins at 10%+ durable:** "We believe that will sustain into the future." — Credible given Q4's 12% EBITDA margin on weak revenue. Tag: **GUIDANCE**. Tone: Transparent.
- **Sales leadership investment underway:** New sales hires across geographies, structured go-to-market — positive for medium-term pipeline conversion. Tag: **EST**. Tone: Transparent.
- **FY27 guidance vague:** Avoided giving specific revenue guidance despite record order book — defaulted to "strong pipeline" language. Tag: **EVASIVE**. Tone: Hedged.

4 — Operating & Business Metrics

- **Order Book:** Q(n) = Rs. 2,417 Cr | Q(n-1) = ~Rs. 2,171 Cr est (Q3) | Baseline = Rs. 1,500 Cr est (Q4 FY25) | Trend: Improving
- **Order Intake FY26:** Q(n) = Rs. 1,843 Cr+ | Q(n-1) = — | Baseline = — | Trend: Strong
- **Book-to-Bill FY26:** Q(n) = 1.5x | Q(n-1) = — | Baseline = — | Trend: Strong
- **Inventory Days:** Q(n) = 314 days (FY26) | Q(n-1) = 188 days (FY25) | Baseline = 184 days (FY24) | Trend: Deteriorating
- **Customer Count:** Q(n) = 41 + 6 new wins | Q(n-1) = 41 (FY24) | Baseline = 35 (FY23) | Trend: Improving
- **Manufacturing Area:** Q(n) = 352,461 sq ft | Q(n-1) = 360,000 (FY24) | Baseline = 229,061 (FY22) | Trend: Expanding
- **SMT Lines:** Q(n) = 9 | Q(n-1) = 9 | Baseline = 6 (FY22) | Trend: Stable

5 — Margin Drivers

- **Higher-complexity programme mix (B2S/box build):** +50-100 bps impact | Recurring: Yes | Movement from PCBA to integrated assemblies is margin-accretive
- **Operating leverage on revenue recovery:** +100-200 bps impact | Recurring: No — volume dependent | Most significant lever; kicks in as FY26 backlog executes in FY27
- **Elevated depreciation (FY25 capex):** -100 bps impact | Recurring: Yes — annual | DA up from Rs. 34 Cr (FY25) to Rs. 43 Cr (FY26); stays elevated through FY28
- **West Asia freight premium (air freight):** -30-50 bps impact | Recurring: No — situational | Reverses when supply chain normalises
- **US entity overhead (other expenses):** -30-50 bps impact | Recurring: Partially | Operating leverage expected as US revenues scale

6 — Guidance & Forward Signals

- **EBITDA margins [GUIDANCE]:** Prior = 10%+ (sustained) | New/Reiterated = 10%+ (reiterated) | Delta = Maintained | Credibility: High
- **Revenue FY27 [GUIDANCE]:** Prior = No specific target | New/Reiterated = Profitable growth; strong backlog | Delta = Maintained (qualitative) | Credibility: Medium
- **Order intake [GUIDANCE]:** Prior = No formal guidance | New/Reiterated = Pipeline strong; book-to-bill >1 expected | Delta = Maintained | Credibility: Medium

- **Capex FY27 [EST]:** Prior = Moderate (organic) | New/Reiterated = IPO funds fully utilized; future capex from internal accruals | Delta = Maintained | Credibility: High

7 — Capital Allocation

- **Capex (FY26):** ~Rs. 43 Cr (embedded in asset base) | Prior: Rs. 154 Cr in FY25 | Capex moderated sharply as IPO-funded expansion complete
- **Dividends:** Rs. 0 | Prior: Rs. 0 in FY25 | No dividend policy; all earnings reinvested
- **Net debt repayment:** Rs. 129 Cr (borrowings: Rs. 301 to Rs. 172 Cr) | Prior: D/E: 0.40 → 0.17x | Significant deleveraging; positive balance sheet signal
- **Working capital change:** +Rs. 64 Cr invested (net increase) | Prior: WC days: 111 → 175 | Inventory build key driver; must reverse in FY27
- **Net debt position (FY26):** Rs. 172 Cr | Prior: Rs. 301 Cr (FY25) | Comfortable leverage; D/E at 0.17x

8 — Q&A; Heat Map

- **Vaibhav Mishra:** Q: "Order book segment breakdown?" → A: "Record order book; healthy pipeline across A&D, industrial, medical" | Tone: **Transparent**
- **Disha Gandhi:** Q: "Quantify West Asia revenue loss?" → A: "Three areas impacted Q4. We planned for it." — Did not quantify the amount." | Tone: **Evasive**
- **Harsh Sheth:** Q: "Other expenses up despite revenue decline?" → A: "US + India ops combined; operating leverage expected as revenues grow." | Tone: **Hedged**
- **Sameet Sinha:** Q: "FY27 revenue guidance range?" → A: "No specific number; focused on order book strength instead." | Tone: **Evasive**
- **Adityapal Singh Jaggi:** Q: "Israeli customer exposure?" → A: "Israeli programmes impacted by approvals. Not a permanent loss." | Tone: **Hedged**
- **Kiran Dhanwada:** Q: "Israeli revenue as % of total?" → A: "Not disclosed specifically." | Tone: **Evasive**
- **Praveen Sahay:** Q: "Inventory normalisation timeline?" → A: "Working to ship deferred inventory in FY27." No specific quarter given." | Tone: **Hedged**
- **Dodged / watch-list questions:** (1) Israeli revenue % of sales; (2) specific FY27 guidance; (3) inventory normalisation timeline.

9 — Risks Flagged on the Call

- **West Asia conflict:** Geopolitical conflict causing supply disruption and approval delays | Flagged by: Management | Prob: H | Impact: H | Timeline: Near-term
- **Israeli programme approvals:** Military clearances not obtained due to ongoing conflict | Flagged by: Management | Prob: H | Impact: H | Timeline: Near-term
- **NPI customer approval delays:** New programme qualifications taking longer than planned | Flagged by: Management | Prob: M | Impact: M | Timeline: Near-term
- **US tariff uncertainty:** Global tariff regime uncertain; component cost risk | Flagged by: Management | Prob: M | Impact: M | Timeline: Near-term
- **Inventory bloat:** 314-day inventory creating FCF pressure | Flagged by: Analyst | Prob: M | Impact: H | Timeline: Near-term

10 — Analyst Verdict

- **Revenue visibility:** **Intact** — Record order book Rs. 2,417 Cr provides 18+ months coverage; demand is real
- **Margin trajectory:** **Intact** — 10%+ EBITDA maintained in weak revenue year; operating leverage to help FY27
- **Capital allocation:** **Intact** — IPO proceeds fully utilised; debt reduced Rs. 172 Cr; no dividend drain

- **Competitive moat:** **Intact** — High switching costs; 2-4 year qualification barriers in defence/aerospace
- **Management credibility:** **Weakened** — Refused to quantify West Asia impact; no FY27 guidance despite record order book
- **Valuation comfort:** **Weakened** — P/E 46.8x on below-trend earnings; upside ~13% in base case only
- **Conviction call:** Unchanged — ACCUMULATE
- **Valuation snapshot:** P/E = 46.8x (FY26A) | Fwd P/E = 38.2x | EV/EBITDA = 21.3x | ROCE = 9.88% | D/E = 0.17x